

26STCV00897 26STCV00897

County: los-angeles

Division: Civil Law and Motion

Department: 733

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Motion: DEFENDANT SWEIS, INC.'s MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

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Case Number: 26STCV00897 Hearing Date: August 26, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

MONICA

MORRELL,

Plaintiff,

vs.

SWEIS, INC., a California corporation; LETTY VILLALOBOS, an individual; DENISE JONES, an individual; LARRY SANDERS, an individual; and DOES 1through 100, inclusive,

Defendants.

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CASE

NO.: 26STCV00897

[TENTATIVE]

ORDER RE: DEFENDANT SWEIS, INC.'s MOTION TO COMPEL ARBITRATION AND STAY
PROCEEDINGS

Dept. 733

8:30 a.m.

August 26, 2026

I.

INTRODUCTION

This is a
wage-and-hour action.

On January 9,
2026, Plaintiff Monical Morrell ("Plaintiff") filed a complaint against
Defendants Sweis, Inc. ("Sweis"), Letty Villalobos ("Villalobos"), Denise Jones
("Jones"), Larry Sanders ("Sanders") ("Defendants"), alleging causes of action
(1) Failure To Pay Overtime (Lab. Code §§510, 1194);
(2) Failure To Pay For Rest Periods Not Provided (Lab. Code §226.7); (3)
Failure To Pay For Meal Periods Not Provided (Lab. Code §§512, 226.7); (4)
Failure To Pay Minimum Wages (Lab. Code §§1194, 1194.2, 1197); (5) Inaccurate
Wage Statements (Lab. Code §226); (6) Failure To Allow Inspection Of Employment

Records (Lab. Code §1198.5); (7) Failure To Reimburse Business Expenses (Lab. Code §2802); (8) Unfair Competition (Bus. & Prof. Code §17200 Et Seq.); and (9) Misclassification as Exempt (Lab. Code §§1171, 1172).

On May 1, 2026,
Sweis filed the instant motion to compel arbitration and stay proceedings.

On May 14, 2026,
Villalobos and Jones filed a joinder to the motion.

On August 13, 2026,
Plaintiff filed an opposition.

On August 19, 2026,
Sweis filed a reply.

II.

LEGAL STANDARD

Under Code of Civil Procedure section 1281.2, a court may order arbitration of a controversy if it finds that the parties have agreed to arbitrate that dispute. Because the obligation to arbitrate arises from contract, the court may compel arbitration only if the dispute in question is one in which the parties have agreed to arbitrate. (Weeks v. Crow (1980) 113 Cal.App.3d 350, 352.) Since arbitration is a favored method of dispute resolution, arbitration agreements should be liberally interpreted, and arbitration should be ordered unless the agreement clearly does not apply to the dispute in question. (Id. at p. 353; Segal v. Silberstein (2007) 156 Cal.App.4th 627, 633.)

III.

DISCUSSION

1.

Existence
of Valid Arbitration Agreement

“Arbitration is a matter of contract.” (Metalclad Corp. v. Ventana Env't Organizational P'ship (2003) 109 Cal.App.4th 1705, 1711.) “General principles of

contract law determine whether the parties have entered a binding agreement to arbitrate.” (Craig v. Brown & Root, Inc., 84 Cal.App.4th 416, 420 (2000); Engalla v. Permanente Medical Group, Inc., 15 Cal.4th 951, 971-72 (1997).) “In determining whether an arbitration agreement exists, we apply the same rules of contract formation as for any other contract.” (Weeks v. Interactive Life Forms, LLC (2024) 100 Cal.App.5th 1077, 1084.)

Under California

law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

Once petitioners

allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (See Condee v. Longwood Mgt. Corp. (2001) 88 Cal.App.4th 215, 219.) However, if the existence of the agreement is challenged, “petitioner bears the burden of proving [the arbitration agreement’s] existence by a preponderance of the evidence.” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413. See also Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1058-1060.)

“With respect to

the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160). “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, Rule 3.1330.) “Once such a document is presented to the court, the burden shifts to the party opposing the motion to

compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.’ (Baker, supra, 13 Cal.App.5th at p. 1160.)

Here, Sweis provides that on June 24, 2024, Plaintiff electronically signed a mutual Arbitration Agreement, requiring binding arbitration of employment-related disputes, including compensation benefits or claims, and any claims for violation of local, state or federal law, statute, regulation or ordinance or common law. (Washton Decl., ¶ 2, Ex. A.)

In support of whether a valid arbitration exists, Sweis has provided the text of the Arbitration Agreement. (Ibid.) The Arbitration Agreement states in pertinent part:

To the fullest extent permitted by law, the PARTIES hereto agree to arbitrate any controversy, claim or dispute between them arising out of, resulting from or in any way related to Employee's employment with this Company, the application or interpretation of the terms of this AGREEMENT, or the termination of the employment relationship set forth in this AGREEMENT under the arbitration rules set forth in the California Code of Civil Procedure § 1280 through § 1294.2, including § 1283.05.

(Id. at p. 1.)

Plaintiff's handwritten signature can be found on the second page of the Arbitration Agreement. (Id. at p. 2.) While not argued by Plaintiff, the fact that a representative of Sweis' signature is not found on the Arbitration Agreement does not raise an issue under the circumstances.

“‘[I]t is not the presence or absence of a signature [on an agreement] which is dispositive; it is the presence or absence of evidence of an agreement to arbitrate which matters.” (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 361; (Serafin v. Balco Props. Ltd., LLC (2015) 235 Cal.App.4th 165, 176 [“Just as with any written agreement signed by one party, an arbitration agreement can be specifically enforced against the signing party regardless of whether the party

seeking enforcement has also signed, provided that the party seeking enforcement has performed or offered to do so.”.)

In *Serafin*,

supra, 235 Cal.App.4th at p. 171, the agreement stated: “[I]t is the policy of [the employer] that the disputed matter shall be submitted to binding arbitration under the Rules of the American Arbitration Association applicable to employment disputes. All employees will be required to sign an acknowledgement stating that they understand this policy and will comply with it.”. The *Serafin* court concluded the employer’s intent to be bound by the agreement could be inferred because the agreement was drafted by the employer, the agreement was printed on the employer’s letterhead, and the employer filed its motion to compel arbitration. (*Id.* at pp. 176-177.)

Similarly here, the Arbitration Agreement was printed on a document with Sweis’ letterhead, was drafted by Sweis and Sweis filed the instant motion to compel arbitration. (*Washton Decl.*, ¶ 2, Ex. A; see also *Davis v. Kozak* (2020) 53 Cal.App.5th 897, 915 [holding that “the agreement was drafted on Red Bull letterhead is an indication the company intended to be bound by the agreement” but the agreement had an “absence of a signature line for Red Bull”].)

Further, there is

no genuine dispute that the instant action is a “claim or dispute . . . resulting from or in any way related to Employee’s employment with [Sweis],” as this is a wage-and-hour case stemming from Plaintiff’s employment with Sweis. (*Washton Decl.*, ¶ 2, Ex. A.) at p. 1; *Compl.*, ¶¶ 6, 9, 16.)

However, Plaintiff argues that Villalobos

and Jones, who joined the motion, cannot enforce the Arbitration Agreement as nonsignatories.

“Nonsignatory defendants may enforce

arbitration agreements “where there is sufficient identity of parties.”

[Citation.] Enforcement is permitted where the nonsignatory is the agent for a party to the arbitration agreement [citation], or the nonsignatory is a third party beneficiary of the agreement [citation]. In addition, a nonsignatory may

enforce an arbitration agreement under the doctrine of equitable estoppel.” (*Jenks v. DLA Piper Rudnick Gray Cary U.S. LLP* (2015)

243 Cal.App.4th 1, 8-9, fn. omitted.)

Here, the Arbitration Agreement

explicitly states that “[t]his agreement to arbitrate includes all parent, subsidiary or related entities of [Sweis], and their employees, agents, pension or benefit plan sponsors, fiduciaries, administrators, affiliates and all successors and assigns.” (Washton Decl., ¶ 2, Ex. A.)

Thus, the explicit and unambiguous terms of the Arbitration Agreement demonstrate an intent for Villalobos and Jones, who Plaintiff expressly allege to be the agents of Sweis (see Compl., ¶ 8) to also be able to invoke the Arbitration Agreement. (See also *Fuentes v. TMCSE, Inc.* (2018) 26 Cal.App.5th 541, 549 [where the arbitration clause specified entities to which it applied, including the “successors, assigns, parents, subsidiaries, or affiliates and/or any employees, officers, directors, agents, of the [contracting party];” *ibid.* [where the Court found that the Moving Party could not invoke the arbitration clause as it was not “a successor, assign, parent, subsidiary, affiliate, employee, officer, or director of [contracting party].”].)

Sweis (and Villalobos and Jones) has met their initial burden in demonstrating that a valid arbitration agreement exists among the parties. Therefore, the burden shifts to Plaintiff.

2.

Application of Labor Code section 229

Plaintiff first argues that Labor Code section 229 bars arbitration of Plaintiff’s Labor Code claims in this action.

Labor Code § 229 provides:

Actions to enforce the provisions of this article for the collection of due and unpaid wages claimed by an individual may be maintained without regard to the existence of any private agreement to arbitrate. This section shall not apply to claims involving any dispute concerning the interpretation or application of any collective bargaining agreement containing such an arbitration agreement.

Under

Section 229 of the Labor Code, “if a cause of action seeks to collect

due and unpaid wages pursuant to sections 200 through 244, that action can be maintained in court, despite an agreement to arbitrate.” (Lane v. Francis Capital Management, LLC (2014) 224 Cal.App.4th 676, 684 (Lane).) “This article” as used in Section 229 refers to Article 1 of Division 2, Part 1, Chapter 1 of the Labor Code, being sections 200 to 244. (Ibid.) None of Plaintiff’s claims arise under Article 1 (i.e. Lab. Code §§ 201-203). Plaintiff’s Labor Code claims are either based on statutes not in Article 1 or are claims based on statutes in Article 1 that are not for wages. (See Lane, supra, 224 Cal.App.4th at 684, citing Kirby v. Immoos Fire Protection, Inc. (2012) 53 Cal.4th 1244, 1256-1257 “[A] section 226.7 claim is not an action brought for nonpayment of wages; it is an action brought for nonprovision of meal or rest breaks.”).)

Section
229 is inapplicable.

3.
Unconscionability

The doctrine of unconscionability refers to “an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.” (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1133.) It consists of procedural and substantive components, “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (Id.) Although both components of unconscionability must be present to invalidate an arbitration agreement, they need not be present in the same degree. (Armendariz v. Found. Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 114.)

“Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. [Citations.] In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Id.) “The party resisting arbitration bears the burden of proving unconscionability.” (Pinnacle Museum Tower Ass’n v. Pinnacle Market Dev., 55 Cal.4th 223, 247.)

A.

Requirements under Armendariz

The Supreme

Court of California has held that, in addition to unconscionability, an arbitration agreement in the employment context has to meet five additional minimum requirements: (1) ensuring that the employee does not bear any costs above that which he or she would have to pay in court; (2) providing for adequate discovery; (3) providing for all types of relief that would otherwise be available in a non-arbitration forum; (4) requiring a written arbitration award and adequate judicial review; and (5) providing for a neutral arbitrator. (Armendariz, *supra*, 24 Cal.4th 83 at pp. 103–13.)

Here, the arbitration provision of the Arbitration Agreement meets each of the additional requirements under Armendariz.

The Arbitration

Agreement states, “The COMPANY shall bear the forum costs of the arbitration, including: filing and hearing fees and the cost of the arbitrator.” (Washton, Ex. A at p. 2.)

The Arbitration

Agreement requires a neutral arbitrator, given that it states “The arbitration will be conducted in Los Angeles County, California by a single neutral arbitrator assigned by and in accordance with the current rules for resolution of employment.” (Id. at pp. 1-2.)

The Arbitration

Agreement requires that “Said award shall be issued in writing and set forth the arbitrator’s essential findings and conclusions on which the award is based. Judgment on the award may be entered in any court having appropriate jurisdiction.” (Id. at p. 2.)

The Arbitration Agreement

provides for all types of relief that would otherwise be available in a non-arbitration forum and for adequate discovery, as it says that “All discovery and remedies that would be permitted in a court of law are permissible in the arbitration proceeding provided herein.” (Ibid.) The Agreement otherwise does not contain any limitations on discovery.

Thus, the Arbitration

Agreement meets each of the Armendariz requirements.

A.

Procedural

Unconscionability

Procedural unconscionability “pertains to the making of the agreement.”² (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.)³ Procedural unconscionability “focuses on two factors: ‘oppression’ and ‘surprise.’ ‘Oppression’ arises from an inequality of bargaining power which results in no real negotiation and ‘an absence of meaningful choice.’ ‘Surprise’ involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.”⁴ (Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 484.)⁵⁶

A contract of adhesion typically denotes a standardized contract imposed and drafted by the party of superior bargaining strength which relegates to the subscribing party only the opportunity to adhere to the contract or reject it. (Armendariz, supra, 24 Cal.4th at p. 113.)⁷ The adhesive nature of a contract is one factor that the courts may consider in determining the degree of procedural unconscionability.⁸ (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 84 fn.4.)⁹¹⁰

The Court

does not find the Arbitration Agreement to be substantively procedurally unconscionable. Plaintiff does “not introduce or rely on any evidence of the circumstances surrounding the execution of the agreement, so [they] could not show inequality of bargaining power, lack of negotiation, or lack of meaningful choice based on those circumstances.” (Crippen v. Cent. Valley RV Outlet (2004) 124 Cal.App.4th 1159, 1165.) While the Court does accept that the Arbitration Agreement is procedurally unconscionable to a slight degree because Sweis was the party of superior bargaining strength, drafted the Agreement, and the Agreement was presented on a take-it-or-leave-it basis, these alone are not dispositive. “When arbitration is a condition of employment, there is inherently economic pressure on the employee to accept arbitration. This alone is a fairly low level of procedural unconscionability.” (Cisneros Alvarez v. Altamed Health Services Corporation (2021)

60 Cal.App.5th 572, 591; see also Peng v.

First Republic Bank (2013) 219 Cal.App.4th 1462, 1470 [“Courts have observed that ‘[w]hen, as here, there is no other indication of oppression or surprise, “the degree of procedural unconscionability of an adhesion agreement is low, and the agreement will be enforceable unless the degree of substantive unconscionability is high.” [Citations.]”].)

Plaintiff also has not demonstrated that the document itself displays procedural unconscionability. The Arbitration Agreement is a standalone document, only two pages long, with a bolded and capitalized header stating “BINDING ARBITRATION AGREEMENT – SWEIS, INC.”

Thus, the Court finds the Arbitration Agreement to only be slightly procedurally unconscionable, if at all. Yet “a finding of procedural unconscionability does not mean that a contract will not be enforced, but rather that courts will scrutinize the substantive terms of the contract to ensure they are not manifestly unfair or one-sided.” (Citation.)” (Sanchez, supra, 61 Cal.4th at p. 915.)

B. Substantive Unconscionability

An agreement is substantively unconscionable if it imposes terms that are “overly harsh,” “unduly oppressive,” “unreasonably favorable,” or “so one-sided as to ‘shock the conscience.’” (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 910-91.) “All of these formulations point to the central idea that unconscionability doctrine is concerned not with ‘a simple old-fashioned bad bargain’ [citation], but with terms that are ‘unreasonably favorable to the more powerful party.’ [Citation.]” (Id. at p. 911.) “These include ‘terms that impair the integrity of the bargaining process or otherwise contravene the public interest or public policy; terms (usually of an adhesion or boilerplate nature) that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law, fine-print terms, or provisions that seek to negate the reasonable expectations of the nondrafting party, or unreasonably and unexpectedly harsh terms having to do with price or other central aspects of the transaction.’” (Id. at p. 911.)

Plaintiff first contends that the Application is substantively unconscionable because it lacks mutuality and is one-sided. The Court disagrees. It states that “This mutual, bilateral, arbitration agreement specifically covers and applies to any claims COMP ANY may have against

EMPLOYEE.” (Washton Decl., Ex. A at p. 1.) Arbitration is the exclusive remedy available to both parties for the same kinds of disputes. (See Armendariz, supra, 24 Cal.4th at p. 120 [“an arbitration agreement imposed in an adhesive context lacks basic fairness and mutuality if it requires one contracting party, but not the other, to arbitrate all claims arising out of the same transaction or occurrence or series of transactions or occurrences.”].)

Lastly, Plaintiff argues that the Arbitration Agreement is substantively unconscionable because she was not provided with a copy of the arbitration rules. Here, the Arbitration Agreement provides that “The arbitration will be conducted in Los Angeles County, California by a single neutral arbitrator assigned by and in accordance with the current rules for resolution of employment disputes promulgated by the Judicial Arbitration and Mediation Service (“JAMS”).” (Washton Decl., Ex. A at pp. 1-2.)

The California Supreme Court in Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237 clarified that the failure to attach a copy of the arbitration rules is only an issue when the plaintiff is challenging the arbitration rules themselves. (Id. at p. 1246.) The California Supreme Court found that the defendant’s failure to attach a copy of the arbitration rules did not constitute procedural unconscionability because the plaintiff challenged only the arbitration agreement, not the arbitration rules. (Ibid.) Plaintiff similarly fails to challenge the JAMS arbitration rules directly. (See Peng, supra, 219 Cal.App.4th at p. 1472 [Because plaintiff did not “identify any feature of the AAA rules that prevent fair and full arbitration” the failure to attach the AAA rules, standing alone, is insufficient grounds for procedural unconscionability]; Bigler v. Harker School (2013) 213 Cal.App.4th 727, 737 [“absence of the AAA rules is of minor significance to our analysis”].)

Additionally, the JAMS rules are easily accessible on the Internet, and there is no indication that Plaintiff does not have the “means or capacity to locate and retrieve a copy of the referenced rules.”

(Lane v. Francis Cap. Mgmt. LLC (2014) 224 Cal.App.4th 676, 692 [“[W]e conclude the failure to attach a copy of the AAA rules did not render the agreement procedurally unconscionable. There could be no surprise, as the arbitration rules referenced in the agreement were easily accessible to the parties—the AAA rules are available on

the Internet."].

Thus, the

Court finds that the slight degree of procedural unconscionability and the lack of substantive unconscionability are not sufficient in rendering the entirety of the arbitration provisions unenforceable.

IV. CONCLUSION

Based on the

foregoing Sweis' motion to compel arbitration is GRANTED in its entirety. The case is hereby stayed pending arbitration as to Sweis, Villalobos, and Jones.

Dated this 26th
day of August 2026

Hon. Gary D.
Roberts

Judge of the
Superior Court